

Finance diagnostic methodology

A decision-oriented method for finding performance, control and capital opportunities.

AUDIENCE	Finance workstream leads and engagement managers
PURPOSE	Structure a fact-based finance diagnostic from hypothesis to roadmap.
VERSION	1.0 As of 13 Jul 2026
OWNER	Theo Mercer Finance Practice

Diagnostic arc

1. Define the executive decision. 2. Establish the fact base. 3. Test value hypotheses. 4. Size and prioritize interventions. 5. Convert findings into owners, timing and measurable outcomes.

Core lenses

- Performance: revenue, margin, cost-to-serve and cash conversion.
- Control: planning cadence, close quality, policy adherence and management information.
- Capital: investment criteria, working capital and funding constraints.
- Capability: decision rights, systems, skills and operating rhythm.

Control record: minimum evidence for a review

Control point	Evidence to retain	Decision rule
Scope	Decision statement and named audience	Proceed only when scope is bounded.
Evidence	Source/assumption log and review notes	Separate verified facts from estimates.
Action	Owner, timing and next review date	Assign one accountable owner.

Application notes

Worked example: Client Alpha

Synthetic example data. Begin with a scope baseline: Client Alpha Phase 1 Finance has an approved diagnostic budget of JPY 42.8M. Treat it as an engagement constraint, not a finance performance metric. Hypotheses must show source, calculation and confidence.

Prioritization rubric

Score each opportunity on impact, confidence, feasibility, time-to-value and dependency. Use a 1-5 scale and explain any score below 3. Separate validated opportunities from directional ideas.

Decision worksheet

Control point	Evidence to retain	Decision rule
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Practice note. Use concise records that make the next decision easier. This guide is an internal operating reference; it is not a substitute for engagement-specific governance.

Execution and review

Readout standard

The executive readout answers: What is happening? Why does it matter? What decision is needed now? What is the first 90-day action? Include an assumptions log and a list of analyses still required.

Practical checklist

- Confirm the purpose and audience before working from the guide.
- Maintain clear distinction between verified facts, assumptions and synthetic examples.
- Record accountable owner, next step and decision date.
- Invite an independent reviewer when conclusions or access risks are material.
- Update the engagement record after the decision is made.

Sign-off prompts

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Summit Vale Advisory | Internal reference guide | As of 13 Jul 2026 | Owner: Avery Calder, Engagement Excellence